Covered-call increments around buyer agreement disclosures

DRAFT / INCOMPLETE — OOS NOT RUN; UNSEEN CLASSIFIER NOT READY

Systematic Trading / Massive 8-K subtrack · IS: 2024–2025 · Hypothesis commit: 63664eb

Hypothesis and counterargument. A first definitive buyer operating-control agreement may attract upside option demand; selling a covered call could earn a larger net increment over stock than on ordinary same-issuer dates. Deal uncertainty and constrained arbitrage motivate the conjecture, not an established edge. Premiums may compensate real tail risk, and information may already be priced before our delayed entry. [1–3]

Frozen method. Union of acquisition_agreement and merger_agreement; official static TOP100. Prior-session chains select the 3–6-month expiry nearest 120 days and 5% OTM call; entry is the first full-session close after acceptance. Exit is event session + 21 sessions or earlier expiry; outcomes past the window are censored. Stock is a parity bond + call - put proxy, with a short OTM call. The 5% premium haircut applies at entry/exit to three covered-call legs (two stock-proxy legs); doubled costs remain visible. Seed-fixed controls preserve issuer/event-clock templates.

Post-IS chronology repair changes eligibility from 16 to 18, retaining rules and both versions. Ordinary controls regenerate under the same algorithm; differences cannot be attributed solely to restored events. Legacy V2 ledger: 1 open at window end.

Primary evidence: theta = (CC - stock)event - (CC - stock)ordinary

IS version	Finite N event/ord.	Theta pp	IID 95% pp	Issuer range pp	Date range pp
Original	13/88	+1.93	[+0.68, +3.19]	[+0.94, +3.08]	[-0.72, +2.27]
Corrected	14/94	+1.57	[+0.33, +2.71]	[+1.17, +2.11]	[-0.93, +2.52]

Cluster ranges are exploratory 2,000-draw sensitivities, not calibrated small-sample confidence intervals. Issuer and overlapping-date clusters are separate; dependence limits independent evidence.

Corrected V2: every fixed IS horizon, with IID 95% intervals

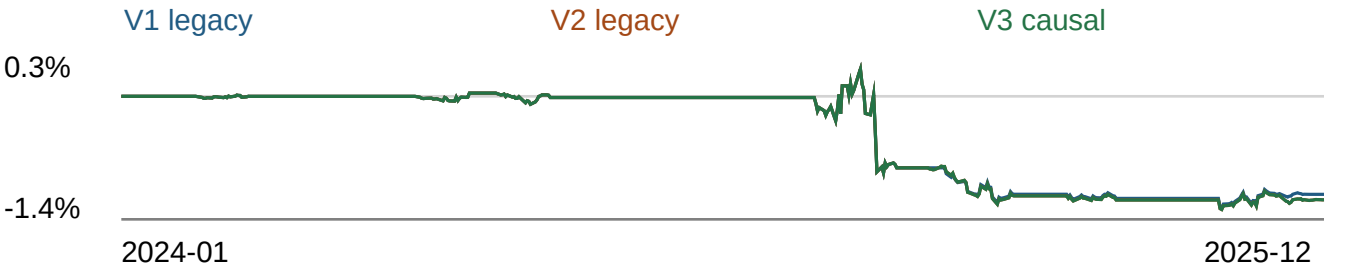
Days	Finite N E / O	Net CC means E / O (%)	CC gap (pp) [IID 95% interval]	Theta (pp) [IID 95% interval]
1	13 / 104	-2.31 / -1.98	-0.33 [-1.16, +0.50]	-0.02 [-0.56, +0.53]
2	14 / 103	-2.20 / -1.80	-0.39 [-1.30, +0.67]	+0.37 [-0.42, +1.14]
3	15 / 103	-2.65 / -1.88	-0.77 [-1.86, +0.23]	+0.86 [+0.22, +1.51]
5	15 / 106	-1.95 / -2.00	+0.04 [-1.22, +1.35]	+0.22 [-0.73, +1.15]
10	15 / 103	-2.60 / -1.57	-1.03 [-2.61, +0.65]	+1.24 [+0.07, +2.34]
21	14 / 94	-2.22 / -1.16	-1.06 [-2.83, +0.73]	+1.57 [+0.33, +2.71]
42	10 / 85	+2.16 / +0.02	+2.14 [-0.90, +5.39]	+0.80 [-2.46, +3.82]
63	10 / 79	-2.74 / +0.84	-3.59 [-12.59, +4.01]	+4.90 [+0.30, +8.85]
Expiry	9 / 77	+1.57 / +2.41	-0.84 [-8.17, +6.01]	+4.75 [+0.51, +8.82]

E/O = event/ordinary. IID intervals ignore dependence; primary cluster ranges above qualify them. Original V1 horizon intervals/counts remain in aggregate CSVs. No best horizon is selected. **OOS: all nine horizons NOT RUN.**

Portfolio, implementation and limits

Current portfolio: V3 timing repair. Prior-close financial state informs current-open decisions; closing fills retain the starter proxy. V2 event results and legacy portfolios are preserved. This objective post-IS clock repair does not validate live execution.

Conditional quote NAV; each ledger retains its own cashflows



IS ledger	CAGR %	Ann. vol %	Sharpe	Max DD %	Turnover x
V1 legacy	-0.61	0.77	-0.79	1.70	0.73
V2 legacy	-0.64	0.77	-0.83	1.72	0.76
V3 causal	-0.64	0.77	-0.83	1.72	0.76

252-session annualization; rf=0, idle cash retained; turnover is two-sided stock-reference dollars / mean NAV. Daily-bar NAV gaps prevent unconditional risk estimates. Standing-NBBO results assume the latest same-session quote state persists when valid; strict 60/300-second age screens remain reported. No gap fill, future mark or retrospective risk-gate replay is used.

Risk. Current conditional daily skew -3.49; worst month 2025-04 -0.65%. One contract; $1m initial NAV; name/sector/total stock-reference gross limits 10%/25%/100%; pause/resume entries at 10%/5% drawdown. Missing marks and overnight jumps undermine these proxy controls. Gross payoff is min(S,U), but uncapped percentage liquidation fees create an extreme-price loss artifact beyond entry debit. American assignment, dividends, financing and multileg fills are not fully modeled.

Costs and capacity. Doubled-cost theta: original +2.01, corrected +1.65 pp. Relative gaps need not imply absolute profits. Causal peak observed half-spread is 3.25x the booked haircut. Commissions, impact and financing are additional. Causal-ledger capacity: complete 20-session volume for 1/14 positions; 1/14 pass one contract at conditional 1% ADV. Absent-bar/listing assumptions and unresolved size units preclude an executable dollar-capacity claim.

Factor diagnostic. Conditional causal beta 0.024. Fixed SPY, IWD-IWF and MTUM-SPY price-only proxies use HAC(21). Idle capital, dividends omitted, few active episodes and nonlinear exposure preclude an established-alpha interpretation.

Research limits. 972 fixed grid cells per version are correlated diagnostics, including pre-filing checks; all variants and failures are retained. Static-universe survivorship, historical taxonomy revisions, concurrent news and small dependent samples limit attribution. H6 completion was rejected before backtesting: too few clean events and a weaker mechanism. Long calls were considered, never tested. AI assisted code/source review; evidence and tests are retained. OOS has not been evaluated; unseen-window readiness and stable edge are unproven.

Conclusion. Both IS versions remain exploratory. Source repairs and conditional valuation improve auditability, not independent sample size, validated event alpha, execution readiness or demonstrated capacity. OOS evidence is still absent.

References and reproduction

[1] Israelov & Nielsen (2015), *Covered Calls Uncovered*. [2] Gârleanu et al. (2009), *Demand-Based Option Pricing*. [3] Ben-Rephael et al. (2022), *Who Pays Attention to SEC Form 8-K?*. [4] Christoffersen et al. (2018), *Illiquidity Premia in the Equity Options Market*. REFERENCES.md retains links and evidence limits; README covers reproduction, hashes and private licensed-data acquisition.